BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

December 9, 2025

- **The Battle of Seasonality Continues –** With current Capesize spot rates in the $40,000 range and the January futures contract trading in the low $20,000s, the dry bulk market appears to be **positioning for a significant correction in spot rates**, one consistent with historical patterns. Historically, the Capesize spot market has exited the year at levels well below where it stands today; over the past decade, year-end rates have ranged from approximately $5,000 to $20,000, with an average near $15,000. Nevertheless, each day that the Index remains at elevated levels forces the futures market to adjust, **pricing in the possibility of an outlier scenario**. Our view is that spot rates are likely to fall below $20,000 over the next few months, in line with historical trends, as seasonal demand typically eases. Although some support is expected from West Africa and the strong bauxite trade, we believe this incremental cargo flow will not be sufficient to sustain current rate levels. In any case, such a **correction is widely anticipated**. The key indicator of underlying market strength will be the subsequent spring recovery, which will reveal whether the dry bulk market can maintain a premium in spot rates despite what otherwise appears to be another year of relatively flat demand growth for bulk commodities.

- **Seaborne Iron Ore Trade to Flatten Vale Says –** During its annual Vale Day event, Vale projected that the global **seaborne iron ore market will remain broadly flat** over the next five years. The company expects Chinese iron ore demand to contract, while natural resource depletion will also constrain projected export volumes. These declines are expected to be partially offset by increased shipments from West Africa and modest demand growth, primarily from the Middle East. Iron ore prices continue to hover around $100 per ton, which appears to represent the equilibrium level balancing production economics with steel mill margins. However, with supply set to increase and inventories remaining at comfortable levels, roughly flat year-over-year, we maintain a **cautious outlook on the forward price trajectory for iron ore**. At present, freight represents approximately 25% of the delivered cost to China for Brazil-origin cargoes, placing it at the higher end of the historical range. In our view, any **downward movement** in iron ore prices is likely to **put additional pressure on freight rates** as well. Lower prices would weaken miners' leverage, incentivizing them to prioritize volume over pricing, which in turn could reduce potential shipping flows.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Positive
Fundamentals:	Negative
Breakwave Dry Futures Index:	**1767**
30D: -2.8%	↓
YTD: 74.3%	↑
YOY: 67.8%	↑
Baltic Dry Index (spot):	**2694**
30D: 28.0%	↑
YTD: 170.2%	↑
YOY: 130.8%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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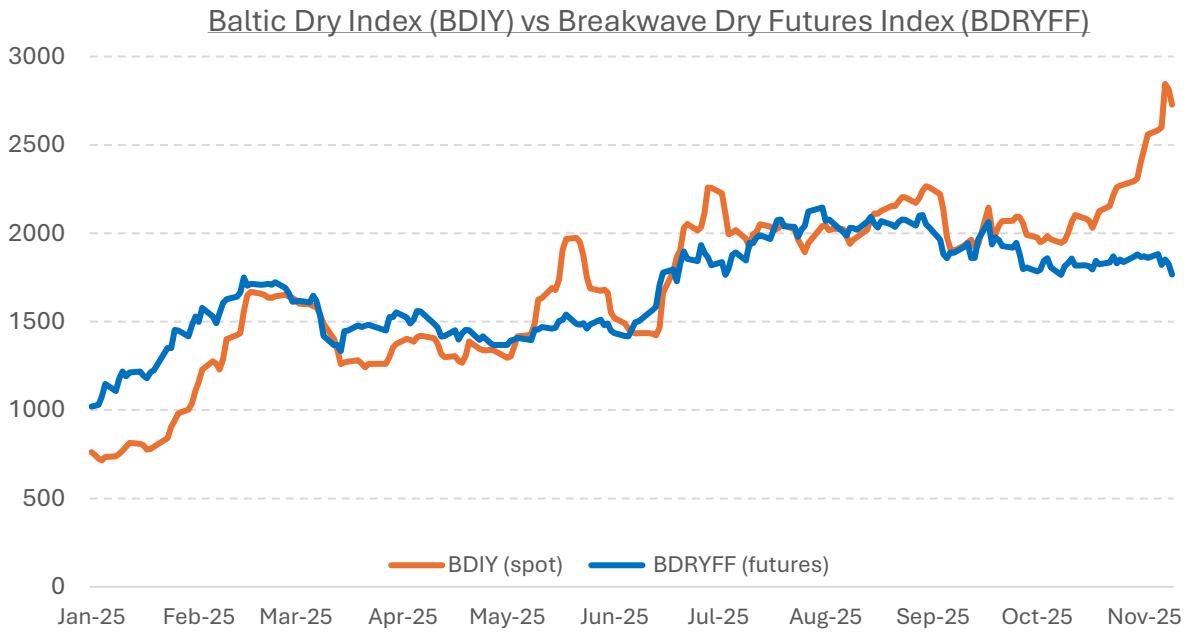

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	818mt	-3.9%
China Steel Inventories	3.7mt	18.9%
China Iron Ore Inventories	142mt	-2.5%
China Iron Ore Imports	1141mt	1.3%
China Coal Imports	432mt	-11.9%
China Soybean Imports	104mt	6.9%
Brazil Iron Ore Exports	377mt	5.2%
Australia Iron Ore Exports	766mt	1.5%

Supply		
Dry Bulk Fleet	1061 mdwt	3.1%

Freight Rates		
Baltic Dry Index, Average	1,657	-7.4%
Capesize Spot Rates, Average	20,792	-10.4%
Panamax Spot rates, Average	12,010	-7.7%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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